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OMB Proposed Revisions to the Uniform Guidance: Key Takeaways for Award Recipient Organizations

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Introduction and Overview

On May 29, 2026, the Office of Management and Budget (OMB), joined by federal award-making agencies, published a proposed rule¹ in the Federal Register that would substantially revise 2 C.F.R. Part 200, commonly referred to as the “Uniform Guidance”—the government-wide framework governing the management of federal grants, cooperative agreements, and other forms of federal financial assistance. If finalized, the proposed rule would represent a significant overhaul of federal award management requirements. The proposed changes codify into regulation a series of executive orders issued beginning in January 2025—most notably Executive Order 14332, “Improving Oversight of Federal Grantmaking” (August 7, 2025), as well as several other orders addressing diversity, equity, and inclusion (DEI) programs, gender ideology, merit-based opportunity, and foreign collaborations—and would shift the Uniform Guidance from guidance to regulation, including via a proposed name change (the “Uniform Grants Regulation”).²

The Uniform Guidance has served since 2013 as the consolidated set of administrative requirements, cost principles, and audit requirements applicable to grants, cooperative agreements, and other forms of federal financial assistance. OMB revised the Uniform Guidance in August 2020 and in April 2024. This 2026 revision is more ambitious in scope than prior revisions.

OMB has organized the proposed revisions around **three objectives**: (i) improving

transparency, accountability, and oversight; (ii) clarifying the regulatory status of the 2 C.F.R. text; and (iii) reducing award recipient burden. As discussed in detail below, many of the proposed changes—particularly those relating to nondiscrimination, merit review, termination authority, and foreign collaboration restrictions—carry consequential operational implications for universities, research institutions, and other entities receiving federal funding. The proposed rule also aims to incorporate executive orders and memoranda issued by the Trump administration since January 2025, including those focused on anti-discrimination and DEI,³ gender ideology,⁴ and, most closely tethered to the present topic, oversight of federal grantmaking.⁵

Comments are due by **July 13, 2026**, with a proposed effective date of October 1, 2026. Institutions receiving federal financial assistance should carefully evaluate the practical implications of these sweeping changes, which touch on nearly every phase of the award lifecycle, and should consider submitting comments during the 45-day comment period.

Below we summarize the more impactful of these proposed revisions and offer recommendations and other considerations should these revisions be implemented as proposed. We also have prepared a [redline comparison](#) of the proposed Uniform Grants Regulation against the current Uniform Guidance, as well as a [summary chart](#) comparing key provisions and noting their practical implications.

Summary of Material Revisions to Uniform Guidance

1. Elevation from “Guidance” to “Regulation”

Key Takeaway: With the Uniform Guidance shifting from guidance to regulation, future OMB amendments to 2 C.F.R. Part 200 would take effect government-wide on a single date, without need for separate agency rulemakings to codify those OMB amendments, giving institutions less time to prepare and potentially fewer opportunities for agency-specific input prior to implementation. Agencies would still be permitted to issue supplemental, agency-specific requirements. If these

proposed changes are implemented, institutions should monitor OMB's rulemaking calendar closely and establish internal processes for rapid compliance assessment.

One of the most structurally significant changes in the proposed rule is the reclassification of 2 C.F.R. Part 200 from “guidance” to a binding OMB “regulation.” The Uniform Guidance currently states at 2 C.F.R. § 1.105 that publication in the Code of Federal Regulations “does not change its nature—it is guidance, not regulation.” However, this proposed rulemaking, a joint proposal of OMB and federal funding agencies, clarifies that requirements in 2 C.F.R. subtitle A carry regulatory effect in their own right. Upon implementation of the proposed rule, participating agencies will amend their adopting regulations accordingly. Then, in the future, when OMB again amends the regulatory text of 2 C.F.R. Part 200, those changes will apply government-wide on the effective date of OMB's final rule, without requiring each federal agency to adopt separately those amendments through the agency's own rulemaking process. Agencies, however, may still undertake rulemakings as appropriate to adjust their own chapters, but they would not be required to do so for every OMB amendment. OMB characterizes this clarification as consistent with how most agencies have implemented OMB amendments since 2014, and notes parallels to the “adoptable guidance” model for the suspension and debarment requirements in 2 C.F.R. Part 180.

2. Nondiscrimination and DEI Restrictions

Key Takeaway: New provisions would prohibit use of “disparate-impact liability” based on protected characteristics, discriminatory event services, DEI and gender-related programs, and discrimination against faith-based organizations. As flagged in prior alerts and webinars, recipients should carefully review policies, programs, training, and employment and admissions practices to assess whether any component thereof could be viewed as inconsistent with the Trump administration's interpretation of civil rights laws. OMB warns that prior practices may not satisfy current anti-discrimination requirements, and violations could constitute a material

breach of award terms, thereby exposing institutions to fund recovery, award termination, and False Claims Act liability.

- **Prohibition on Disparate-Impact Theories (§ 200.218).** Consistent with Executive Order 14281,⁶ this new provision would prohibit the use of federal financial assistance to promote or support the use of disparate-impact liability based on federally protected characteristics such as race, sex, or age. “Disparate-impact liability” is defined as “a theory under which a facially neutral policy or practice (for example, a merit-based employment policy or practice) gives rise to an automatic or near-insurmountable presumption of the existence of unlawful discrimination on the basis of federally protected characteristics (such as race or sex) where there are any differences or disparities in outcomes (for example, disproportionate effects) among different races, sexes, or similar groups,”⁷ with this presumption applying even absent any proven discriminatory intent. An exception to this prohibition is provided for internal statistical or demographic analysis for internal program evaluation, research, or other purposes, provided those activities are not funded by or used in connection with the federal award. Recipients, therefore, should be able to continue research, program evaluation, and similar activities that may be deemed to employ disparate-impact theories (*e.g.*, health disparities work) provided that federal award funding is not used to support such research and the research results are not used to adjust federal award activities.
- **Prohibition of “Discriminatory Event Services” (§ 200.219).** This new provision would prohibit public entities that are recipients or subrecipients of federal financial assistance from “discriminat[ing] on the basis of the viewpoint, content, or subject matter of speech—including on the basis of political, ideological, or religious affiliation or perspective—*in providing services for events, meetings, or other expressive activities.*”⁸ This requirement would apply to events that occur on property or facilities under control of the public entity, regardless of whether the event is directly funded by the federal award—

effectively restricting a public entity's use of funds for these purposes even when using non-federal funds.⁹ Public universities, of course, are subject otherwise to the First Amendment, but there are disagreements as to whether and how current First Amendment doctrine applies to controversial speakers on campuses. If adopted, this provision's conditioning of federal financial assistance may be challenged as unconstitutional. This requirement also applies to non-public entities to the extent the relevant activities are funded by a federal award.

- **Codification of DEI and Gender Ideology Prohibitions (§ 200.300(b)).** OMB notes that “[r]ecent and ongoing litigation regarding some of the topics addressed in § 200.300 indicates the need for a clear regulatory framework reflecting administration policy that can be uniformly applied by Federal agencies to recipients of Federal financial assistance.”¹⁰ Related to various executive orders and Department of Justice guidance on DEI and gender identity,¹¹ the proposed rule would amend § 200.300 (Statutory and National Policy Requirements) to provide that, to the maximum extent permitted by law, federal agencies and pass-through entities must ensure that federal awards are not used to “fund, promote, encourage, subsidize, or facilitate”¹² three categories of activities: (1) DEI or diversity, equity, inclusion, and accessibility (DEIA) policies, principles, or practices that violate any applicable federal anti-discrimination laws, including racial preferences and the use of race or intentional proxies for race as selection criteria for employment or program participation; (2) “gender ideology,” defined as theories or ideologies that deny the biological reality of sex or the sex binary in humans, or endorse the notion that sex is a chosen or mutable characteristic; and (3) pediatric gender transition procedures for individuals under 19 years of age. OMB warns that recipients “should not assume that practices previously viewed as consistent with prior Executive Branch guidance will necessarily satisfy applicable Federal anti-discrimination requirements as applied to Federal awards.”¹³

- **Non-Discrimination Against Faith-Based Organizations (§ 200.300(c)).** This

new provision provides that “[f]ederal agencies and pass-through entities may not discriminate against or in favor of an applicant on the basis of the organization's religious character, affiliation, exercise, or lack thereof, nor on the basis of conduct that would not be considered ground to favor or disfavor a similarly situated secular organization.”¹⁴

- **Affirmative Steps for Small and Diverse Business (§ 200.321).** The proposed rule would “streamline” this section by removing language directing recipients to consider minority-owned, women-owned, and veteran-owned businesses on solicitation lists, solicit them whenever eligible, divide procurements to permit maximum participation, and utilize organizations like the Small Business Administration. The proposed rule instead would provide only that recipients should consider “small businesses, *including subcategories of small businesses enumerated in Federal statute*,” when issuing contracts.¹⁵ The preamble emphasizes that this change is meant only to simplify the language and “ensure that contracting preferences remain consistent with law and other principles discussed in this [proposed rule].”¹⁶ Accordingly, it does not appear that OMB is attempting to get around or override existing legal requirements (*e.g.*, Veterans' Preference Act of 1944), but rather to give general reference to applicable law and, in the process, remove reference to terminology disfavored by the Trump administration.

3. Enhanced Merit Review, Pre-Issuance Review, and Risk Assessment

Key Takeaway: Under the proposed rule, senior political appointees would conduct pre-issuance review of all discretionary awards (independent from scientific peer review), institutions with lower IDC rates would receive preferred treatment, and through expanded risk assessments of potential recipients, federal agencies could consider an institution's “questionable practices,” affiliations with organizations that engage in certain activities, and Section 117 compliance. If these changes are adopted as proposed, applicants may experience greater uncertainty in

award timing and outcomes, and should prepare for heightened content scrutiny of proposals.

- **Pre-Issuance Review by Senior Appointees (§ 200.205(b)).** This new subsection would require federal agency heads to designate senior political appointees to conduct pre-issuance reviews of all discretionary awards. These senior appointees must apply specific principles, including ensuring that discretionary awards “demonstrably advance the President's policy priorities,”¹⁷ are not used for discriminatory or impermissible purposes, and emphasize compliance with applicable law. The proposed rule explicitly states that peer review recommendations must “remain advisory” and not be “ministerially ratified [or] routinely deferred to”¹⁸ by senior appointees. As previewed by Executive Order 14332,¹⁹ this introduces a new layer of political review into the award process, potentially adding another layer of unpredictability into award timing and outcomes, as senior appointees exercise independent judgment over proposals, separate and apart from scientific peer review. The proposed rule states that agencies are not required to issue awards solely as a result of issuing a Notice of Funding Opportunity (NOFO), and may repost a funding opportunity if doing so would avoid funding “low-quality proposals.”²⁰
- **Preference for Lower Indirect Cost Rates and Broader Recipient Base (§ 200.205(b)).** Also as previewed by Executive Order 14332,²¹ the proposed pre-issuance review principles state that, “all else being equal, preference for discretionary awards should be given to institutions with lower indirect cost rates”; and agencies are encouraged to award a “broad range of recipients” and to prioritize an institution's “commitment to rigorous, reproducible scholarship over its historical reputation or perceived prestige.”²² These references could negatively affect the competitiveness of applications submitted by research institutions with higher negotiated indirect cost rates.
- **Expanded Risk Assessment Factors (§ 200.206(b)).** The proposed rule

significantly expands the factors that agencies may consider when evaluating an applicant institution and its ability to fulfill grant terms and conditions. New factors include an applicant's financial capacity to manage and oversee high-dollar awards (as determined by the federal agency) and an applicant's history of “questionable practices” based on publicly available information, including plagiarism, discredited or non-replicable studies, activities inconsistent with federal civil rights laws, and activities inconsistent with religious liberty laws. Agencies also may consider an applicant's memberships and affiliations with organizations that “violate Federal law, undermine public safety or national security, or advocate for the overthrow of the United States Government.”²³ Notably for institutions of higher education, the proposed rule would direct agencies to consider an institution's compliance with foreign gift and contract disclosure requirements under Section 117 of the Higher Education Act of 1965 (Section 117), thereby, of course, increasing pressure on institutions to comply rigorously with those disclosure requirements.

- **Specific Conditions Authority (§ 200.208).** The proposed rule revises § 200.208 to expand options for funding agencies to apply, adjust, and remove specific conditions under federal awards. Key new elements include: (1) express authorization for agencies to add or remove specific conditions throughout the period of performance; (2) a requirement that any such adjustments based on enumerated risk factors must occur within 15 calendar days after the agency's determination; (3) clarification that specific conditions not based on enumerated risk factors may be added or removed only with recipient agreement; (4) expanded examples of specific conditions, including requiring information on payments to contractors or vendors, or financial integrity-related site visits; and (5) a new provision at § 200.208(f) authorizing program-level specific conditions when elevated programmatic risks are identified across a federal program, which may be removed once underlying risks are resolved.

4. Termination and Suspension Authority

Key Takeaway: The proposed rule would substantially broaden agency discretion to terminate awards based on evolving policy priorities and the “national interest,” as measured at the time of termination, with limited procedural protections for recipient institutions. A new 90-day suspension authority also would allow agencies to pause awards while considering termination of those awards. Importantly, a new provision would permit federal agencies to cooperate with individuals or organizations pursuing a private cause of action or remedies against a recipient or subrecipient for failure to comply with law, regulation, or award terms. Recipients should assess financial exposure to mid-performance disruptions, particularly for large, multi-year projects with significant commitments of personnel and other institutional resources.

- **Expanded Discretionary Termination (§ 200.340).** Under the proposed rule, a federal agency or pass-through entity may terminate a federal award, in part or in its entirety, if the agency determines that termination is “in the interest of the Federal agency or the pass-through entity,” including where the award “does not effectuate program goals, Federal agency priorities, or *the national interest* as they exist *at the time of the termination*.”²⁴ While a comparable provision has existed since 2020, the proposed rule clarifies and broadens this authority—adding reference to “the national interest” and noting that such misalignment of goals, priorities, and interests will be measured at the time of terminations—seemingly in response to the many administrative appeals and lawsuits stemming from agency termination actions in 2025 that cited the 2020 version of this text. The proposed language also clarifies an existing ability to terminate if the recipient or subrecipient fails to comply with award terms and conditions—specifically including “the failure of the recipient to report subawards on SAM.gov pursuant to the award term required by 2 CFR part 170,”²⁵ emphasizing OMB's desire for increased transparency around subaward funding—and adds a new catchall category through which an agency or pass-through entity may terminate an award in accordance with any additional

termination provisions in the terms and conditions included in the federal award.

The termination provision is generally applicable to all discretionary awards, with exceptions for statutory entitlements (such as block grants, formula-based awards, and disaster recovery grants), certain awards under the CHIPS and Science Act and Infrastructure Investment and Jobs Act, and international trade agreements.

- **New Temporary Suspension Authority (§ 200.340(e)).** Modeled on the stop-work order provisions of the Federal Acquisition Regulation (FAR) applicable to procurement contracts, this new provision allows federal agencies and pass-through entities to issue written orders temporarily suspending a federal award, in part or in its entirety, for up to 90 days (or longer by mutual agreement) if the agency or pass-through entity determines that suspension is in the interest of the agency or pass-through entity. The clock would start after a written order of suspension is delivered to the recipient or subrecipient. During suspension, recipients must minimize costs allocable to suspended activities, and the federal agency may proceed to terminate the federal award, in whole or in part. If resumed, the federal agency or pass-through entity should consider and attempt to resolve any budgetary or schedule impacts resulting from the suspension.
- **Procedural Protections (§§ 200.340-200.343).** For terminations based on noncompliance, existing appeal rights would be preserved. However, for other bases for termination, including discretionary terminations, the proposed rule would not require agencies to allow for objections, hearings, and appeals. Instead, for discretionary terminations, agencies would only be required to provide written notice with “a brief summary of the reason or reasons”²⁶ for the termination (the reasons may apply to an individual award or a class of awards, and “[t]he Federal agency or pass-through entity is not required to provide a detailed or exhaustive analysis”),²⁷ an opportunity for the recipient to submit a written statement of all termination costs within a reasonable timeframe after notice, and stop-work instructions. Recipients would retain the ability to seek

review in the U.S. Court of Federal Claims to the extent they believe a particular termination is unlawful. As to the costs resulting from discretionary terminations, while federal agencies would not be required to authorize additional costs incurred after award termination, agencies would have discretion to allow the federal share of necessary and reasonable costs resulting from financial obligations incurred after termination, based on information provided by the recipient. In making such determinations, agencies would be permitted to weigh payment of additional termination costs against competing policy concerns such as responsible stewardship of federal funds, program goals, agency priorities, or the national interest.

- **Remedies for Noncompliance (§ 200.339(b)).** This new subsection would permit (but not require) a federal agency, at its direction and if applicable and consistent with law, to cooperate with individuals or organizations pursuing their own private cause of action or remedies based on a failure of a recipient or subrecipient to comply with law, regulation, or the terms and conditions of the applicable award. OMB clarifies in the preamble that “[t]he proposed subsection is not intended to, and would not, create any right or benefit, substantive or procedural, enforceable at law or in equity by any party against the United States, its departments, agencies, or entities, its officers, employees, or agents, or any other person.”²⁸ If this provision is adopted, it would appear to give agency leadership the ability overtly and publicly to support the advocacy activities of external groups critical of the content and execution of specific awards made by that agency.

5. Domestic-First Framework; Foreign Collaboration Restrictions

Key Takeaway: Save certain limited circumstances, research and development awards generally would be domestic-first—limited to U.S. entities. Further, no federal funds (including indirect cost allocations) could be used to support collaborations with any foreign countries or entities that are deemed adversarial to

the U.S. Institutions with international research partnerships—particularly those involving researchers or institutions in China, Russia, Iran, or other countries of concern—should inventory current and planned collaborations for compliance exposure, even where no direct federal funding is involved. Institutions also should note the enhanced emphasis on Section 117 foreign gift and contract reporting compliance as a risk factor in the award process.

- **Domestic-First Framework for Research and Development Awards (§ 200.202(e)).** The proposed rule establishes a “domestic-first framework”²⁹ for research and development awards, under which these awards must be made to entities organized under the laws of the United States, a state, or tribal government, to the extent permitted by law. Federal agencies may not issue awards for research and development to foreign entities “except where expressly authorized by statute or where a compelling interest exists for the agency's mission, the administration's priorities, and for the United States, as determined by the agency's senior appointee.”³⁰ “International elements”³¹ may be included when designing research and development programs only if the agency determines they are justified, consistent with program objectives, and in the United States' national interest. Agencies must consider factors such as whether the international element is necessary to achieve scientific objectives, provides access to unique expertise or resources unavailable domestically, enhances the scientific enterprise of the United States, and has the facilities, personnel, and other resources and capacities to carry out the proposed scope of work at a level comparable to that of a domestic recipient performing similar activities.
- **Prohibition on Covered Foreign Collaborations (§ 200.220).** The proposed rule would prohibit recipients and subrecipients from using federal funds to support bilateral or multilateral collaborations, agreements, programs, or activities with “covered foreign countries” or “covered foreign entities.”³² “Covered foreign countries” include countries designated as foreign adversaries, countries of particular concern, and countries subject to sanctions or national

security restrictions. “Covered foreign entities” include entities owned or controlled by such countries, entities on federal concern lists, and entities affiliated with military, intelligence, or security services of a covered foreign country. Limited exceptions may be authorized by statute or by the federal agency head (or designee) when the activity does not pose a national security risk and is in the national interest. The prohibition would apply regardless of whether federal funds are used for direct programmatic activities, research, technical assistance, travel, or indirect costs allocable to such collaborations.

6. Subawards; Subrecipient Monitoring and Management

Key Takeaway: Pass-through entities will need to evaluate rigorously whether fund transfers to affiliates, subsidiaries, or related entities require formal subrecipient or contractor classification; misclassification could trigger SAM.gov reporting deficiencies and form a basis for award termination. A new provision also would require pass-through entities to ensure subrecipients do not “significantly damage the reputation” of the pass-through entity, funding agency, or the U.S. government, but fails to specify any example of such reputational damage. Federal agencies would be required to monitor pass-through entities' compliance with such subaward monitoring and management tasks and to take corrective action against pass-through entities as necessary, thereby increasing enforcement risk. The proposed rule also eliminates fixed amount subawards completely, in favor of cost-reimbursement structures that OMB believes will improve financial transparency in subawards.

- **Subaward Reporting (§§ 200.329(h) and 200.332(g)).** Proposed revisions clarify that the federal agency is responsible for providing oversight to ensure that recipients comply with the requirement to report subawards on SAM.gov, taking corrective action if recipients are noncompliant with this obligation. OMB also proposes requiring recipients to confirm in their performance reports that all subawards issued during the reporting period have been reported to SAM.gov.

Failure of a recipient to report subawards on SAM.gov can serve as a basis for termination of the federal award.

- **Transfers to Related Entities (§§ 200.331(c) and 200.332(h)).** These new provisions would clarify that pass-through entities cannot treat payments to affiliates, subsidiaries, or related entities as internal transfers exempt from subrecipient or contractor determinations in order to circumvent subrecipient monitoring and management obligations. Instead, such transfers must be evaluated and classified as either subawards or contracts.
- **Subrecipient Damage to Reputation (§ 200.332(i)).** This new subsection would require pass-through entities to ensure that each subrecipient is in compliance with subaward terms and conditions and that the subrecipient “does not take actions that could significantly damage the reputation”³³ of the pass-through entity, the federal funding agency, or the federal government more broadly. If the pass-through entity finds that a subrecipient has taken such actions, it must inform the federal agency to determine whether the subaward should be terminated, and the federal agency may direct the pass-through entity to terminate the subaward or may terminate the award to the pass-through entity.
- **No Fixed Amount Subawards (§ 200.333).** This revised provision would eliminate fixed amount subawards, with OMB citing inconsistent implementation and insufficient transparency and oversight compared to other award types. The existing provision allows for fixed amount subawards with prior written approval from the federal agency.

7. Other Notable Proposed Revisions (Miscellaneous)

Key Takeaway: Proposed changes would create an English-only language preference for award materials. Recipients also would need to disclose potential conflicts of interest resulting from a current recipient employee having been employed by the awarding federal agency during the two years preceding the award

application. Agencies would be obligated to disclose, to the U.S. Attorney's Office for the District of Columbia any credible evidence of fraud, conflict of interest, bribery, or similar matters, and would need to do so within ten days of receiving such information. Significant cost allowability changes would include new prior approval requirements for publication, conference, and fundraising costs, and presumptive disallowance of advertising costs. Institutions that regularly charge these costs to federal awards would need to build agency approval into project planning or identify alternative funding sources for these items and services. New administrative requirements also would include mandatory E-Verify participation and payment request justifications. Although indirect cost rates issues are unchanged by the proposed rule, the proposed preference for lower-rate institutions as part of merit review signals continued preference for suppressing indirect costs, and OMB expressly reserves the right to address this issue through future action.

- **English Language (§ 200.111).** The proposed rule would remove permissive language stating that agencies, recipients, or subrecipients may issue or translate award documents into another language. The revised language would state only that federal assistance announcements, applications, and federal award information “must” (rather than “should”) be in English.
- **Conflicts of Interest and Other Disclosures (§§ 200.112–200.113).** The proposed rule adds a new transparency requirement: recipients and subrecipients must disclose whether any employees who worked on the application or proposal, or who are anticipated to work on activities under the resulting federal award, were employed by the awarding federal agency during the preceding two years prior to application submission. OMB clarifies that this disclosure is for informational purposes, does not by itself represent a conflict of interest or create an automatic bar to participation, and is intended to provide awarding agencies with visibility into situations where prior employment relationships between agency staff and recipient personnel could give rise to questions about impartiality, preferential treatment, or insider knowledge. Separately, OMB

proposes revisions to § 200.113 that would require any disclosures of credible evidence of fraud, conflict of interest, bribery, or gratuity violations (under title 18 U.S.C. or the False Claims Act) received by an agency's Office of Inspector General be transmitted to the United States Attorney's Office for the District of Columbia within ten days of receipt. This ten-day transmission requirement is designed to reduce delays and accelerate prosecutorial awareness, thereby reducing the risk that criminal or civil misconduct continues without the initiation of appropriate government action.

- **“Gold Standard Science”; Research Categorization (§§ 200.202(g), 200.205(b)).** As previewed by Executive Order 14303,³⁴ the proposed rule incorporates the concept of “Gold Standard Science” and encourages applicants to commit to complying with administration policies respecting this concept. The proposed rule directs agencies to weigh institutional integrity when making award decisions. The proposed rule also would require that federal agencies providing support for scientific research categorize those awards as basic research, applied research, or experimental development, consistent with definitions promulgated in OMB Circular A-11,³⁵ and the applicable categorization would need to be communicated to the recipient and included in award terms and conditions.
- **Streamlining the Award Process (§§ 200.202 and 200.204).** OMB proposes several measures that it explains would streamline the award process, including encouraging the use of multi-year awards to reduce the frequency of applications (§ 200.202), promoting more efficient NOFO practices, including the use of pre-application Statements of Interest to pre-screen applicants and spare less competitive applicants from preparing resource-intensive proposals with little chance of selection (§ 200.204), and requiring that all federal funding opportunities be posted on Grants.gov to reduce duplicative processes (§ 200.204).
- **E-Verify Participation Requirement (§ 200.303(f)).** The proposed rule would

require all recipients and subrecipients to participate in the Department of Homeland Security's E-Verify program to confirm employment eligibility of employees and contractors hired or performing work under federal awards in the United States.

- **Payment Accountability Reforms (§ 200.305).** The proposed rule would require federal agencies to verify recipient eligibility through the Treasury's Do Not Pay system before disbursing federal payments. Under this requirement, payment requests from recipients (other than states) must include justifications describing the purpose of the payment and the specific award-related work it supports. This aligns with Executive Order 14222³⁶ regarding the prevention of improper payments and improvement of cost efficiency.
- **Indirect Cost Rates (§§ 200.332(b), 200.414-200.417).** Despite Executive Order 14332's³⁷ direction to OMB to address indirect cost recovery, the proposed rule does not propose changes to the indirect cost rates or the existing negotiation process. OMB states that it may issue a separate request for information on this topic in the future and expressly instructs commenters not to submit comments on indirect cost rates in response to this rulemaking. The FY2026 appropriations riders have required certain agencies to continue applying FY2024 negotiated rates. Notwithstanding, the proposed pre-issuance review principle preferring institutions with lower indirect cost rates may represent a *de facto* downward pressure on indirect cost rates.
- **Elimination of Fixed Amount Awards (§ 200.333).** The proposed rule would eliminate the use of fixed amount awards and subawards, which were introduced in 2014, unless otherwise authorized by statute. OMB's rationale is that fixed amount awards limit transparency and hinder effective oversight because there is no expected routine monitoring of actual costs and no financial reporting requirement.
- **Changes to Allowable Costs (§§ 200.421, 200.429, 200.432, 200.442, 200.461,**

200.477). The proposed rule would make several notable changes to cost principles in Subpart E of Part 200.

- Publication costs would be unallowable unless such activities are required by statute or approved in advance by the federal agency on a case-by-case basis, with OMB reasoning that publication costs “are not inherently necessary to carry out the core programmatic objectives of most Federal awards” and may serve “institutional, professional, or reputational interests” rather than program objectives (§ 200.461).³⁸
- Conference attendance costs would be allowable only if participation is “expressly approved by the agency and included in the terms and conditions of the award” (§ 200.432).³⁹
- Advertising and public relations costs would be presumptively unallowable, with only narrow statutory or procurement-related exceptions (§ 200.421).
- Commencement and convocation costs would be unallowable for all entity types, not only institutions of higher education (§ 200.429).
- Costs associated with elective abortions would be codified as unallowable at new § 200.477, consistent with the Hyde Amendment.
- Fundraising and investment management costs would require prior written approval of the federal agency (§ 200.442).

Comment Period and Proposed Effective Date

OMB proposes a 45-day comment period, with comments due by July 13, 2026, and a proposed effective date of October 1, 2026, coinciding with the start of federal fiscal year 2027. This is a notably compressed timeline for rulemaking of this magnitude. OMB selected October 1 to ensure that “only a single set of government-wide requirements apply to Federal awards made during fiscal year 2027.”⁴⁰ Late comments will be considered “only to the extent practicable.”⁴¹ The requirements

would apply to new awards and amendments issued after the effective date.

Recommendations/Action Items for Award Recipients

Academic institutions, research universities, and other federal award recipients should take the following steps:

- Convene cross-functional teams—including provost/vice provost for research offices, sponsored programs, general counsel, compliance, research administration, and human resources—to assess the proposed rule's potential impact on operations.
- Assess (or reassess) civil rights compliance risks under the proposed revisions and, as necessary, revise existing DEI-related policies, training programs, and other practices.
- Evaluate existing award terms and assess the potential financial and operational exposure of a mid-performance termination or suspension, particularly for large, multi-year research projects with significant personnel and equipment commitments, and update contingency plans as necessary.
- Assess whether any fund transfers to affiliates, subsidiaries, or related entities are currently treated as internal transfers and, if so, determine whether they must be reclassified as subawards or contracts.
- Determine compliance with Section 117's foreign gift and contract disclosure requirements.
- Inventory international collaborations that may be affected by the proposed foreign collaboration prohibitions and domestic-first framework, particularly those involving disfavored foreign countries or entities.
- Prepare for new requirements related to payment justifications, subaward monitoring and reporting, and anticipated restrictions on certain specified costs

(publications, conferences).

- Enroll or confirm participation in the Department of Homeland Security's E-Verify program.
- For universities, review campus events and facility use policies to ensure compliance with the prohibition on discrimination on the basis of the viewpoint, content, or subject matter of speech in providing services for events, meetings, or other expressive activities.
- Identify any current or anticipated employees involved in federal award applications or performance who were employed by federal award agencies in the past two years and establish processes to ensure timely disclosure of such prior employment.
- If these changes are finalized, review updated NOFOs, award terms, and agency guidance as they are issued to understand exactly which administrative legacy requirements have been removed and which new streamlining mechanisms have been implemented.
- Consider submitting public comments—individually and/or through industry groups—during the 45-day comment window, particularly on provisions that may affect legitimate research activities.

Conclusion

The proposed revisions to the Uniform Guidance, now styled the Uniform Grants Regulation, represent a sweeping reorientation of federal award management policy that reflects the current administration's policy priorities. For universities, research institutions, and other federal award recipients, the proposed rule introduces substantial new compliance obligations and operational risks. The codification of DEI prohibitions and disparate-impact restrictions, the introduction of political appointee pre-issuance review, an expanded discretionary termination and suspension authority,

new foreign collaboration restrictions, and tightened cost principles for publications and conferences collectively represent a fundamental shift in the regulatory landscape governing federally funded research. Notably, OMB has deferred action on at least one politically charged question—indirect cost rate reform, although the proposed preference for awarding funding to institutions with lower negotiated rates may obliquely achieve some of the same objectives.

The compressed 45-day comment period and aggressive October 1, 2026 target effective date underscore the urgency for affected institutions to act quickly—both to understand the implications of the proposed changes and to participate meaningfully in the public comment process. Institutions should not wait for a final rule to begin preparing. The executive orders and Department of Justice guidance underlying many of these proposed provisions are already in effect and are already shaping agency behavior. Proactive review of institutional policies, international collaborations, and sponsored programs administrative processes will position institutions to respond effectively whether the proposed rule is finalized as drafted, modified in response to public comments, or challenged in litigation.

We will continue to monitor this rulemaking and related developments and are available to assist in evaluating the impact of these changes on their operations and in preparing public comments.

1. 91 Fed. Reg. 32,198 (May 29, 2026), available at <https://www.federalregister.gov/d/2026-10817/>.

2. “OMB [] does not propose a change to the (formal) header for part 200, which would remain ‘Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards.’ . . . [T]he name UGR [Uniform Grants Regulation] . . . would be used in a way similar to how ‘Uniform Guidance’ is currently used as a plain language way of referring to part 200—despite its formal header. . . . The proposed name of UGR for part 200 would not have any impact on the part’s broader applicability to cooperative agreements and other forms of financial assistance, which remain subject to part 200 under the proposed regulatory text. . . . Outside of its technical meaning, the term ‘grant’ is also generally understood and used in ordinary speech by the general public in a way that more technical terms may not be.” 91 Fed. Reg. at 32.208.

3. Exec. Order No. 14,151, 90 Fed. Reg. 8,339 (Jan. 29, 2025), available at <https://www.federalregister.gov/documents/2025/01/29/2025-01953/ending-radical-and-wasteful-government-dei-programs-and-preferencing>; Exec. Order No. 14,173, 90 Fed. Reg. 8,633 (Jan. 31, 2025), available at <https://www.federalregister.gov/documents/2025/01/31/2025-02097/ending-illegal-discrimination-and-restoring-merit-based-opportunity>; Exec. Order No. 14,281, 90 Fed. Reg. 17,537 (Apr. 28, 2025), available at <https://www.federalregister.gov/documents/2025/04/28/2025-07378/restoring-equality-of-opportunity-and-meritocracy>; U.S. Department of Justice, *Guidance for Recipients of Federal Funding Regarding Unlawful Discrimination* (July 29, 2025), available at <https://www.justice.gov/ag/media/1409486/dl>; and U.S. Department of Justice, *Memorandum Opinion for the Acting General Counsel Department of Education* (Dec. 2, 2025), available at <https://www.justice.gov/olc/media/1421576/dl>.

4. Exec. Order No. 14,168, 90 Fed. Reg. 8,615 (Jan. 30, 2025), available at <https://www.federalregister.gov/documents/2025/01/30/2025-02090/defending-women-from-gender-ideology-extremism-and-restoring-biological-truth-to-the-federal>; Exec. Order No. 14,187, 90 Fed. Reg. 8,771 (Feb. 3, 2025),

available at <https://www.federalregister.gov/documents/2025/02/03/2025-02194/protecting-children-from-chemical-and-surgical-mutilation>.

5. Exec. Order No. 14,332, 90 Fed. Reg. 38,929 (Aug. 12, 2025), available at <https://www.federalregister.gov/documents/2025/08/12/2025-15344/improving-oversight-of-federal-grantmaking>.
6. Exec. Order No. 14,281, 90 Fed. Reg. 17,537 (Apr. 28, 2025), available at <https://www.federalregister.gov/documents/2025/04/28/2025-07378/restoring-equality-of-opportunity-and-meritocracy>.
7. 91 Fed. Reg. at 32,252.
8. 91 Fed. Reg. at 32,214 (emphasis added).
9. “As public entities are subject to the First Amendment in their own right, this broad application is constitutionally permissible This requirement would further ensure that public entities receiving Federal awards do not use their control over facilities or services to disadvantage disfavored groups, such as colleges and universities charging additional fees—sometimes referred to as ‘heckler’s fees’—to provide security for conservative speakers.”*Id.*
10. 91 Fed. Reg. at 32,216.
11. U.S. Department of Justice, “Guidance for Recipients of Federal Funding Regarding Unlawful Discrimination” (July 28, 2025), available at <https://www.justice.gov/ag/media/1409486/dl>.
12. 91 Fed. Reg. at 32,215.
13. 91 Fed. Reg. at 32,221.
14. 91 Fed. Reg. at 32,216.
15. 91 Fed. Reg. at 32,256 (emphasis added).
16. 91 Fed. Reg. at 32,224.
17. 91 Fed. Reg. at 32,249.
18. *Id.*
19. 90 Fed. Reg. 38,929.
20. 91 Fed. Reg. at 32,249.
21. 90 Fed. Reg. 38,929.
22. 91 Fed. Reg. at 32,249.
23. 91 Fed. Reg. at 32,250.
24. 91 Fed. Reg. at 32,258 (emphasis added).
25. *Id.*
26. 91 Fed. Reg. at 32,260.
27. *Id.*
28. 91 Fed. Reg. at 32,225.
29. 91 Fed. Reg. at 32,247.
30. *Id.*
31. *Id.*
32. 91 Fed. Reg. at 32,214.
33. 91 Fed. Reg. at 32,257.
34. Exec. Order No. 14,303, 90 Fed. Reg. 22,601 (May 29, 2025), available at <https://www.federalregister.gov/documents/2025/05/29/2025-09802/restoring-gold-standard-science>.
35. OMB, Circular No. A-11, *Preparation, Submission, and Execution of the Budget* (Aug. 2025), available at <https://www.whitehouse.gov/wp-content/uploads/2025/08/a11.pdf>.
36. Exec. Order No. 14,222, 90 Fed. Reg. 11,095 (March 3, 2025), available at <https://www.federalregister.gov/documents/2025/03/03/2025-03527/implementing-the-presidents-department-of-government-efficiency-cost-efficiency-initiative>.
37. 90 Fed. Reg. 38,929.
38. 91 Fed. Reg. at 32,232.
39. 91 Fed. Reg. at 32,231.
40. 91 Fed. Reg. at 32,235.
41. *Id.*

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